# How We Rate Stocks

At Archimedes, our stock rating system is designed to provide a quick, data-driven assessment of a stock's potential. Our rating considers multiple financial factors to give each stock a score from **1 to 10**, with higher scores indicating stronger long-term prospects. Here's an inside look at the metrics we use to calculate these ratings.

## 1. Growth Metrics

Growth is a key component of our rating, reflecting how well a company expands its revenue, earnings, and market position over time. Growth metrics we consider include:

- **Revenue Growth Rate**: Analyzes the percentage increase in revenue year-over-year to determine consistent growth.
- **Earnings Growth**: Tracks earnings growth over time, helping indicate how profitable a company may become.

## 2. Value Metrics

We assess the stock's valuation to understand if it's reasonably priced relative to its fundamentals. Value metrics allow us to compare stock prices with their financial data to avoid overvaluation:

- **Price-to-Earnings (P/E) Ratio**: Compares a company's stock price to its earnings, helping us determine its relative value in the market.
- **Price-to-Earnings Growth (PEG) Ratio**: Incorporates the company's growth rate to provide a more balanced view of value and growth.

## 3. Performance Metrics

Performance metrics help us evaluate a stock's strength relative to the overall market. By analyzing how a stock performs over time, we identify stocks with consistent, reliable returns:

- **Comparison to Benchmarks**: We evaluate performance relative to major indices, ensuring our ratings consider market-wide trends.

## 4. Overall Score

Each stock is assigned an **Overall Score out of 10**. This score represents a weighted combination of growth, value, and performance metrics, summarizing the stock's potential at a glance.

**Note**: Our ratings are based on financial data and are meant to offer a long-term perspective. Short-term events, such as news or economic shifts, may impact stock performance temporarily. Therefore, we recommend using Archimedes' ratings as part of a broader, long-term investment strategy.